CAPSTONE PROJECT REPORT

Building a Scalable Finance and Accounting System for MS Bright Traders

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Location: Bangalore, India

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Role: Finance Executive / Accounts Analyst

Introduction

MS Bright Traders is growing electronics trading business operating in Maharashtra. The company needed a structured finance system to manage accounting, GST, payroll, reconciliation, and reporting.

This project was designed to replace manual and unreliable processes with a professional accounting workflow that supports accuracy, compliance, and better decision-making.

Objective

The objective of this project is to create a complete finance and accounting system covering chart of accounts, journal entries, AP/AR tracking, GST computation, payroll processing, bank reconciliation, and final financial reporting.

It also aims to convert raw business transactions into meaningful reports and business insights that can help improve control and profitability.

Business Problem

The business was facing issues such as no structured accounting system, weak tracking of receivables and payables, incorrect GST handling, manual payroll, no bank reconciliation, and no proper financial statements.

These gaps made it difficult for management to trust the numbers or take informed decisions as the business grew.

Scope of Work

The project covers chart of accounts preparation, transaction recording, AP/AR aging, GST working, payroll computation, bank reconciliation, financial statements, and dashboard-based insights.

It connects practical finance work with Tally-style bookkeeping, compliance reporting, and operational control.

Methodology

First, a chart of accounts is created using heads such as cash, bank, capital, sales, purchases, receivables, payables, GST liability, input tax credit, payroll, and expenses.

Next, transactions are recorded through journal entries and then followed by AP/AR analysis, GST working, payroll computation, and reconciliation of balances.

Finally, the adjusted figures are used to prepare the profit and loss account, balance sheet, and a dashboard of key metrics.

Chart of Accounts

A suitable chart of accounts should include capital, cash, bank, sales, purchases, purchase returns, sales returns, accounts receivable, accounts payable, rent expense, electricity expense, office expense, commission income, GST input credit, GST payable, salary expense, PF payable, PT payable, and TDS payable.

This structure ensures that every transaction is captured under the correct financial head and can be reported clearly.

Transaction Summary

The major transactions include capital introduction of ₹ 2,00,000, bank deposit of ₹ 1,50,000, purchases of Samsung M14, HP Pavilion, Logitech Mouse, and Redmi Note 12, along with sales to Gopal Electronics and Yash Mobiles.

The business also paid rent, electricity, and office expenses, while collecting amounts from customers and receiving commission income.

Accounts Payable and Receivable

Accounts payable should track supplier balances for purchases from S.K. Distributors, Mahadev Electronics, and other vendors.

Accounts receivable should track customer dues from Gopal Electronics, Yash Mobiles, and Deepak Traders, with aging used to understand collection pressure and overdue balances.

GST Computation

Since the company is registered in Maharashtra, intrastate sales and purchases attract CGST and SGST at 9 percent each, while interstate transactions attract IGST at 18 percent.

Input tax credit is allowed except for office expenses, and opening ITC is nil, so the GST register should separate eligible and ineligible credits properly.

Payroll Calculation

Employee salaries are based on basic pay plus HRA, special allowance, conveyance, and medical allowance, with deductions such as PF, professional tax, and TDS where applicable.

The employees included in the payroll data are Amit Sharma, Neha Verma, and Rahul Patil, and the salary sheet should reflect both earnings and deductions clearly.

Bank Reconciliation Statement

At the end of April, the cash book balance is ₹ 1,78,000 and the bank statement balance is ₹ 1,65,500.

The reconciliation should account for bank charges of ₹ 500, interest credit of ₹ 1,000, and cheque not presented of ₹ 10,000 to identify the adjusted balance.

Financial Statements

After posting all entries and adjustments, the project should prepare a profit and loss account and a balance sheet.

The profit and loss account will show revenue, cost of goods sold, expenses, payroll cost, and net profit, while the balance sheet will present assets, liabilities, and capital as of the reporting date.

Dashboard and KPIs

The dashboard should highlight sales, purchases, receivables, payables, cash position, GST liability, payroll cost, and profit trends.

Useful KPIs include gross profit margin, collection efficiency, outstanding dues, vendor payment status, and working capital position.

Observations

The project shows that the biggest operational risks are weak accounting discipline, slow collections, and poor reconciliation.

It also shows that even a small trading business benefits significantly from structured finance controls, regular reporting, and software-based accounting systems like Tally Prime.

Recommendations

The business should implement a proper accounting workflow, maintain updated customer and vendor ledgers, and reconcile bank statements every month.

It should also automate GST and payroll processes, review receivables regularly, and use dashboards for faster management review.

Conclusion

This project demonstrates how a small trading business can build a professional finance and accounting system using practical bookkeeping, GST, payroll, reconciliation, and financial analysis methods.

It is a complete capstone because it combines operational accounting with reporting and decision support, which is exactly what a real finance executive would do in practice.